DSEH004 · PERFORMANCE MANAGEMENT AND EMPLOYEE ENGAGEMENT

II

UNIT II READER

Engagement and Motivation

Why performance management is changing, what engagement is, and what moves people to work

Weeks 1 to 3 | Exam preparation | 8 readings explained

R K Singh, Senior Professor · Department of Commerce, Delhi School of Economics, University of Delhi

M.Com. PGCF 2025 · Academic Year 2026 to 27 · Exam preparation edition

About this reader

HOW TO USE IT

This reader is a companion to the set readings, not a replacement for them. For each reading it explains the argument in plain language, lists the ideas you must hold, shows how to apply them, flags common confusions, and gives questions to think with as you prepare for the end term examination. Read the original first, then use this reader to check your understanding. Folder names refer to the course Readings folder.

Unit II is taught first because diagnosis comes before design. Before you can judge any performance management system, you need two sets of tools: theories of engagement, which explain whether people bring themselves to their work, and theories of motivation, which explain why they do and how much.

The readings come from two traditions that are easy to blur. Engagement research (Kahn; Bakker and Demerouti; the Indian evidence in Bhatnagar) asks about the state of the person at work and the conditions that produce it. Motivation research (Deci and Ryan; Csikszentmihalyi; Pink; Luthans and colleagues) asks about the reasons people act and the quality of those reasons. A strong examination answer names which tradition it is using, and uses the other to test its conclusion.

READING MAP

Week	Set readings	Folder	Exam edition lectures
1	Buckingham and Goodall (2015)	08_Readings (top level)	L1, L2
2	Kahn (1990), Sections I to III; Bhatnagar (2007); Bakker and Demerouti (2017)	Unit 2 / Unit 2:Core	L1 to L3
3	Deci and Ryan (2008); Csikszentmihalyi (1990) Ch 1 and 2; Pink (2009) Ch 1 to 3; Luthans, Youssef and Avolio (2007) Ch 1	Unit 2 / Unit 2:Core (Pink not yet filed)	L1 to L3

The readings, one by one

Week 1 Core

Buckingham, M., & Goodall, A. (2015). Reinventing performance management. *Harvard Business Review, 93*(4), 40–50.

THE ARGUMENT IN BRIEF

Buckingham and Goodall describe how Deloitte redesigned its performance management after concluding that the annual rating process consumed close to 2 million hours a year and did not help people perform. They draw on research showing that ratings reflect the rater more than the person rated, and replace annual ratings with frequent, short "performance snapshots" in which team leaders answer a few questions about their own future intentions toward each person, plus regular check ins between leaders and team members.

IDEAS TO HOLD

- Annual ratings consume large amounts of time and say much about the rater.
- The redesign asks leaders about their own intended actions, not about the qualities of others.
- Frequent check ins replace the once a year conversation.
- The aim moves from judging past performance to improving future performance.

APPLY IT

When asked whether a firm should drop annual ratings, separate the three problems the article raises: the time cost, the rater effect, and the focus on the past. A good answer says which problem a proposed redesign solves and which it leaves.

EASY TO CONFUSE

This is a practitioner case in Harvard Business Review, not a controlled study. Use Scullen, Mount and Goff (2000) from Week 1 Lecture 2 for the research on rater effects.

QUESTIONS TO THINK WITH

- Which part of the Deloitte redesign depends most on the skill of team leaders?
- What could be lost when a firm stops rating people once a year?

Week 2 Core

Kahn, W. A. (1990). Psychological conditions of personal engagement and disengagement at work. *Academy of Management Journal, 33*(4), 692–724. (Lesson Plan: Sections I to III.)

THE ARGUMENT IN BRIEF

Kahn studied summer camp counselors and members of an architecture firm and defined personal engagement as the harnessing of the self to the work role, physically, cognitively and emotionally. People engage or withdraw from moment to moment. Whether they engage depends on three psychological conditions: meaningfulness (is it worth investing myself?),

safety (can I show myself without fear?) and availability (do I have the physical and emotional resources to do so?).

IDEAS TO HOLD

- Engagement is bringing the self into the role; disengagement is withdrawing and defending the self.
- Three conditions: meaningfulness, safety, availability.
- Each condition has its own sources, from task design to relationships to energy and life outside work.
- Engagement varies from moment to moment, not only from person to person.

> **APPLY IT**
>
> Diagnose a case one condition at a time, and name the evidence you would look for. A team that attends perfectly but stays silent in meetings may have meaningfulness without safety.

> **EASY TO CONFUSE**
>
> Kahn did not produce a survey scale. Measures came later, for example May, Gilson and Harter (2004). Do not describe Kahn as a measurement model.

> **QUESTIONS TO THINK WITH**
>
> - Which condition is most likely to fail in a team led by a manager who criticizes in public?
> - Can a person be highly engaged and also close to burnout? Use Kahn and the next reading.

Week 2 · Indian context

Bhatnagar, J. (2007). Talent management strategy of employee engagement in Indian ITES employees: Key to retention. *Employee Relations, 29*(6), 640–663.

THE ARGUMENT IN BRIEF

Bhatnagar studied employee engagement and retention among employees in Indian ITES organizations, a sector known for high attrition. The study links engagement to talent management and retention, and treats engagement as something organizations can influence through the way they manage people, rather than as a fixed trait of employees.

IDEAS TO HOLD

- Engagement is studied here in an Indian services setting with high attrition.
- Engagement is linked to retention and to talent management practice.
- Indian evidence is the default frame in this course, not an appendix.

> **APPLY IT**
>
> Use this reading when an answer needs an Indian example of engagement linked to retention. Pair it with a Western theory and say what the Indian setting adds or changes.

QUESTIONS TO THINK WITH

- What features of ITES work might make engagement harder to sustain?
- Would the same retention link hold in a manufacturing plant? What would you check?

Week 2 Core

Bakker, A. B., & Demerouti, E. (2017). Job demands–resources theory: Taking stock and looking forward. *Journal of Occupational Health Psychology, 22*(3), 273–285.

THE ARGUMENT IN BRIEF

Bakker and Demerouti review two decades of Job Demands Resources research and set out the theory as a set of propositions. Every job has demands, which cost effort, and resources, which help achieve goals and support growth. Demands drive a health impairment process toward exhaustion; resources drive a motivational process toward engagement. Resources buffer the effect of demands, matter most when demands are high, and personal resources such as optimism and self efficacy work in a similar way. Over time, engaged people tend to build more resources and exhausted people create more demands.

IDEAS TO HOLD

- Two processes: health impairment through demands, motivation through resources.
- Resources buffer demands and matter most when demands are high.
- Personal resources act like job resources.
- Gain and loss spirals build over time.

APPLY IT

Classify each demand in a case as a challenge or a hindrance (Crawford, LePine and Rich, 2010, from Week 2 Lecture 3) before recommending that it be cut.

EASY TO CONFUSE

Burnout and engagement are not two ends of one scale in this theory. They run on different processes, so cutting demands may lower burnout without raising engagement.

QUESTIONS TO THINK WITH

- Why might adding resources raise engagement more than cutting demands does?
- Name one personal resource and one job resource in a nursing team.

Week 3 Core

Deci, E. L., & Ryan, R. M. (2008). Self determination theory: A macrotheory of human motivation, development, and health. *Canadian Psychology, 49*(3), 182–185.

THE ARGUMENT IN BRIEF

Deci and Ryan present self determination theory as a broad theory of motivation. Its central distinction is between autonomous motivation, acting with a sense of choice and endorsement, and controlled motivation, acting under pressure or for reward. Satisfying three basic psychological needs, for autonomy, competence and relatedness, supports autonomous motivation, wellbeing and better performance; thwarting them does the opposite.

IDEAS TO HOLD

- The quality of motivation matters, not only its amount.
- Autonomous and controlled motivation have different consequences.
- Three basic needs: autonomy, competence, relatedness.
- Social contexts can support or thwart those needs.

> **APPLY IT**
> Use self determination theory to judge the kind of motivation a design produces. A completion bonus may raise the number of appraisals done while turning them into a box ticking exercise.

> **EASY TO CONFUSE**
> Autonomy is not independence. A person can autonomously endorse duty to a team or family. This is why the theory can apply in collectivist Indian workplaces (Chirkov et al., 2003).

> **QUESTIONS TO THINK WITH**
> - Which basic need is most at risk under constant electronic monitoring?
> - How could a manager support autonomy while setting firm deadlines?

Week 3 Core

Csikszentmihalyi, M. (1990). *Flow: The psychology of optimal experience*. Harper & Row. Chapters 1 and 2.

THE ARGUMENT IN BRIEF

Csikszentmihalyi argues that the quality of life depends on the quality of experience, and that people can learn to order their own consciousness. The opening chapters set out why happiness is not simply pursued but follows from engagement in activities, and introduce the idea that attention is the key resource a person controls. The book goes on to describe flow: deep absorption in an activity with clear goals, immediate feedback, and challenge matched to skill.

IDEAS TO HOLD

- Experience, not circumstance alone, shapes the quality of life.
- Attention is the resource through which people order experience.
- Flow needs clear goals, immediate feedback and a balance of challenge and skill.
- Flow is rewarding in itself.

APPLY IT

Use flow to argue that feedback should be frequent and that challenge should match skill. A system that gives feedback once a year removes one condition of flow.

EASY TO CONFUSE

Flow is a momentary state; engagement in the Job Demands Resources sense is a more lasting state. Do not treat them as the same.

QUESTIONS TO THINK WITH

- Which flow condition is most often missing in routine factory work?
- Can a performance system be designed to produce flow, or only to avoid blocking it?

Week 3 Core

Pink, D. H. (2009). *Drive: The surprising truth about what motivates us*. Riverhead Books. Chapters 1 to 3.

THE ARGUMENT IN BRIEF

Pink argues that organizations still rely on a model of motivation built on rewards and punishments, which suits simple, routine tasks but fails for creative and complex work. Drawing on research such as Deci and Ryan's, he contrasts behavior driven by external rewards with behavior driven by intrinsic desire, and argues that carrots and sticks can reduce intrinsic motivation and encourage short term thinking. Later chapters develop autonomy, mastery and purpose as the elements of a better approach.

IDEAS TO HOLD

- Reward and punishment suit routine tasks better than complex ones.
- External rewards can crowd out intrinsic motivation.
- Autonomy, mastery and purpose are the elements Pink proposes.

APPLY IT

Treat Pink as a bridge to the research. In an answer, cite the underlying evidence (Deci, Koestner and Ryan, 1999; Cerasoli, Nicklin and Ford, 2014) rather than the popular book alone.

EASY TO CONFUSE

Pink restates self determination theory and related research for a general audience. It is not an independent theory with its own evidence base.

QUESTIONS TO THINK WITH

- Where does Pink's argument go further than the evidence supports?
- For which jobs might incentives still work well?

Week 3 Core

Luthans, F., Youssef, C. M., & Avolio, B. J. (2007). *Psychological capital: Developing the human competitive edge*. Oxford University Press. Chapter 1.

THE ARGUMENT IN BRIEF

Luthans, Youssef and Avolio introduce psychological capital: a positive state made up of hope, efficacy, resilience and optimism. They set criteria for including a capacity: it must be based on theory and research, measurable, open to development, and related to performance. Psychological capital is presented as state like, more changeable than personality traits but more stable than moods, and therefore something organizations can develop.

IDEAS TO HOLD

- Four components: hope, efficacy, resilience, optimism.
- Inclusion criteria: theory based, measurable, developable, linked to performance.
- State like: between traits and moods.

APPLY IT

Use psychological capital when a case concerns how people respond to setbacks. Then add the caution: training individuals to cope should not replace fixing a broken context.

EASY TO CONFUSE

Self determination theory locates motivation in whether the context meets needs; psychological capital locates it in resources the person holds. Say which you are assuming.

QUESTIONS TO THINK WITH

- How would you build efficacy in a new graduate trainee?
- What evidence would show that psychological capital training changed performance, not just feelings?

Choosing the right lens

The examination often gives a case and asks which theory explains it best. Use the table to match the symptom to the lens, then test your diagnosis with a second lens.

If the case shows...	The lens that fits	What to recommend
People present but silent and guarded	Kahn: safety	Manager behavior that makes speaking up safe
High workload with strong performance but rising exhaustion	Job Demands Resources	Add resources; remove hindrance demands
Tasks done for the bonus, quality falling	Self determination theory	Make rewards informational, support autonomy
Routine work, no feedback, low absorption	Flow and job design	Clear goals, immediate feedback, matched challenge
Good context but low confidence after setbacks	Psychological capital	Mastery experiences, modeling, coaching
Annual ratings that nobody trusts	Buckingham and Goodall	Frequent check ins focused on the future

KEY TERMS

Term	Meaning
Personal engagement	Harnessing the self to the work role, physically, cognitively and emotionally (Kahn).
Job resources	Aspects of work that help achieve goals, reduce demands or support growth.
Autonomous motivation	Acting with a sense of choice and endorsement.
Flow	Complete absorption in an activity with clear goals, immediate feedback and matched challenge.
Psychological capital	Hope, efficacy, resilience and optimism, treated as a developable state.

References

Bakker, A. B., & Demerouti, E. (2017). Job demands–resources theory: Taking stock and looking forward. *Journal of Occupational Health Psychology, 22*(3), 273–285. https://doi.org/10.1037/ocp0000056

Bhatnagar, J. (2007). Talent management strategy of employee engagement in Indian ITES employees: Key to retention. *Employee Relations, 29*(6), 640–663. https://doi.org/10.1108/01425450710826122

Buckingham, M., & Goodall, A. (2015). Reinventing performance management. *Harvard Business Review, 93*(4), 40–50.

Cerasoli, C. P., Nicklin, J. M., & Ford, M. T. (2014). Intrinsic motivation and extrinsic incentives jointly predict performance: A 40 year meta analysis. *Psychological Bulletin, 140*(4), 980–1008. https://doi.org/10.1037/a0035661

Chirkov, V., Ryan, R. M., Kim, Y., & Kaplan, U. (2003). Differentiating autonomy from individualism and independence: A self determination theory perspective on internalization of cultural orientations and well being. *Journal of Personality and Social Psychology, 84*(1), 97–110. https://doi.org/10.1037/0022-3514.84.1.97

Crawford, E. R., LePine, J. A., & Rich, B. L. (2010). Linking job demands and resources to employee engagement and burnout: A theoretical extension and meta analytic test. *Journal of Applied Psychology, 95*(5), 834–848. https://doi.org/10.1037/a0019364

Csikszentmihalyi, M. (1990). *Flow: The psychology of optimal experience*. Harper & Row.

Deci, E. L., & Ryan, R. M. (2008). Self determination theory: A macrotheory of human motivation, development, and health. *Canadian Psychology, 49*(3), 182–185. https://doi.org/10.1037/a0012801

Deci, E. L., Koestner, R., & Ryan, R. M. (1999). A meta analytic review of experiments examining the effects of extrinsic rewards on intrinsic motivation. *Psychological Bulletin, 125*(6), 627–668. https://doi.org/10.1037/0033-2909.125.6.627

Kahn, W. A. (1990). Psychological conditions of personal engagement and disengagement at work. *Academy of Management Journal, 33*(4), 692–724. https://doi.org/10.2307/256287

Luthans, F., Youssef, C. M., & Avolio, B. J. (2007). *Psychological capital: Developing the human competitive edge*. Oxford University Press.

May, D. R., Gilson, R. L., & Harter, L. M. (2004). The psychological conditions of meaningfulness, safety and availability and the engagement of the human spirit at work. *Journal of Occupational and Organizational Psychology, 77*(1), 11–37. https://doi.org/10.1348/096317904322915892

Pink, D. H. (2009). *Drive: The surprising truth about what motivates us*. Riverhead Books.

Scullen, S. E., Mount, M. K., & Goff, M. (2000). Understanding the latent structure of job performance ratings. *Journal of Applied Psychology, 85*(6), 956–970. https://doi.org/10.1037/0021-9010.85.6.956

All references were checked against Crossref, publisher or library records. Works cited in Apply it and Easy to confuse boxes are explained in the lecture slides.